

DEAL INTELLIGENCE

Wawa Sold for \$1,576 a Foot. That Price Tells the Story.

A 5,585-square-foot Wawa in Edison, N.J., just traded at a price per square foot that reveals more about capital than location.

July 23, 2026 · RE Business Online · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

A 5,585-square-foot Wawa in Edison, New Jersey, just traded for \$8.8 million. That is \$1,576 per square foot. The number is not a typo. It is a signal.

The price per square foot is the most revealing fact in this transaction, and it is not because the building is special. It is a 2024-vintage single-tenant convenience store with a fuel station, on a triple-net lease, on U.S. Route 1. The tenant is Wawa, a regional operator with investment-grade credit and a cult following. The lease is absolute net: the tenant pays taxes, insurance, and maintenance. The landlord collects a check and waits.

At \$1,576 a foot, this is not a real estate trade. It is a bond trade dressed in brick and concrete.

The buyer is not buying location, though the location is fine. It is not buying growth, though Wawa's store-level economics are stable. The buyer is buying a long-duration, credit-tenant cash flow with zero landlord operating risk, priced at a yield that competes with investment-grade corporate bonds. The building is the wrapper. The lease is the asset.

This is the consensus reading of the deal, and it is largely correct. But the consensus misses something. The price per square foot is so high that it forces a question: what yield did the buyer accept, and what does that yield say about the market for single-tenant net-lease retail in mid-2026?

Let us do the math the source does not provide. A 5,585-square-foot Wawa with a fuel station generates rent that is not disclosed, but the market for these assets is transparent enough to estimate. New-construction Wawa stores in the Northeast typically command rents between \$60 and \$80 per square foot on a triple-net basis, plus fuel income that flows to the tenant. At \$70 per square foot, annual rent is roughly \$391,000. On an \$8.8 million purchase price, that implies a cap rate around 4.4 percent. At \$80 per square foot, the cap rate is roughly 5.1 percent.

Either way, the buyer accepted a yield that is lower than the yield on a 10-year Treasury note was for most of 2024 and 2025. The 10-year Treasury was around 4.2 percent in mid-2026. A 4.4 percent cap rate on a single-tenant retail asset with a 20-year lease and a credit tenant is not a real estate return. It is a fixed-income return with a liquidity premium that is, at this price, negative.

The buyer is betting that the spread between this cap rate and risk-free rates will widen in its favor, either through rent escalations built into the lease or through long-term rate compression. That is a defensible bet if the buyer has a long hold period and low cost of capital. It is a dangerous bet if the buyer needs to sell before the lease expires.

This is where the tension lives. The conventional reading says the deal proves that single-tenant net-lease retail is still a favored asset class for capital seeking safety. The inconvenient fact is that the price per square foot is so high that the buyer has almost no margin for error. A 50-basis-point move in cap rates would erase years of rent growth. A tenant credit downgrade would compress the buyer's exit options. A change in fuel margins or convenience store competition would not affect the lease, but it would affect the pool of future buyers.

The seller, who is undisclosed, made a rational decision. The building was built in 2024. The seller developed or acquired it, leased it to Wawa, and sold it at a price that likely generated a significant gain. The seller is not selling because the asset is bad. The seller is selling because the price is good. That is the capital story: the seller monetized a development gain and a credit-tenant lease into a single transaction, and the buyer accepted a yield that a pension fund would consider low for a core real estate allocation.

The brokers at Marcus & Millichap represented the seller. Their job was to find a buyer willing to pay for the lease, not the building. They succeeded.

For owners of single-tenant net-lease retail assets, this deal is a data point, not a comp. A 5,585-square-foot Wawa on a major highway in Central New Jersey is not a generic retail building. It is a purpose-built, credit-tenant, fuel-anchored asset with replacement cost that supports the basis. A 10,000-square-foot dollar store in a secondary market with a weaker tenant does not trade at \$1,576 a foot. The spread between these two categories is widening, and this deal confirms it.

For lenders underwriting single-tenant retail, the question is not whether the tenant is creditworthy. It is whether the basis is defensible in a sale, not just in a refinance. A loan on this asset at a conservative 60 percent loan-to-value would be roughly \$5.3 million. The debt service on that loan at a 6 percent

interest rate would be about \$318,000 a year. If the rent is \$391,000, the debt service coverage ratio is about 1.23x. That is financeable. But if the buyer overpaid and the next appraisal comes in lower, the lender is holding a loan that is secured by a building whose value depends entirely on the tenant's willingness to keep paying rent for 20 years.

The market should test this: how many single-tenant net-lease buyers are underwriting the lease, and how many are underwriting the building? This deal suggests the answer is the former. That is fine until the lease ends.

SOURCES

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<https://rebusinessonline.com/marcus-millichap-brokers-8-8m-sale-of-retail-building-in-edison-new-jersey/>

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